Four Paths to Wealth

A research-backed breakdown of Alex Hormozi's "If You Want To Create Wealth In 2026, Watch This (4 Paths)", fact-checked, stress-tested, and translated into practical moves for businesses, apps, websites, and conversion marketing.

Source video	https://www.youtube.com/watch?v=sL16tsGafcQ - uploaded by Alex Hormozi, 2026-06-04, 25:13, ~918k views
Compiled	2026-10-17
Method	Full transcript of the video was read in full (see Section 0 for limits). Each claim was then checked against independent sources found during this session, or against well-established theory, and graded. Practical application is the author's synthesis, labelled as such.
Use	Designed to be attached to any AI chat as context. See the last page for ready-made prompts. Not financial, legal, or tax advice.

Evidence grades used throughout

Grade	Meaning
A	Confirmed by at least one independent source during this session (primary or high-quality secondary).
B	Broadly supported, but figures differ between sources, only secondary sources were found, or it depends on definitions.
C	Self-reported by the speaker, an opinion, or an aphorism. Not tested or not verifiable here.
D	Inaccurate or contradicted by what was found.
T	Established theory or classic research cited from background knowledge, not re-fetched in this session. Check the citation before relying on exact figures.

0. How this was made, and its limits

- **What was read:** the complete auto-generated transcript and the description of the video, retrieved through a web-scraping service. Description-listed career milestones were also captured.
- **What was NOT done:** the video frames were not analysed, so anything shown only visually (e.g. the whiteboard drawing in the fund-management example) is reconstructed from the speaker's narration. Auto-captions contain errors (for example the software company "ALAN" appears as "Allen").
- **The requested "YouTube watch skill" was not available** in the cloud environment this was built in; it is installed on the user's own computer. The transcript was therefore obtained by a different route. No audio was heard; "hearing" here means reading every word of the transcript.
- **Verification scope:** ten targeted searches. Several figures come from secondary sources (blogs, summaries) and are graded B. Where the original primary report was not opened, this is stated.
- **Sampling caution:** the speaker's examples (the 11 richest people) are a tiny, survivorship-biased sample. They illustrate paths; they do not prove which path is best for a typical person.

Bottom line of the evidence check. The video's core framework (two questions: whose money, whose business) is a clean and useful way to choose a strategy. Its main risk claims are well supported (most startups close; venture returns are extremely skewed; fund returns depend on leverage and terms). Several specific facts are loose or wrong (Buffett's first stock was at age 11, not 7; "Microsoft was bootstrapped" omits a 1981 $1M venture investment; the fund example uses a 50/50 profit split and a 20% return that are far more generous than typical terms). Self-reported biography claims could not be verified.

1. Executive summary: the argument in one page

Thesis. People who stay poor chase shortcuts. The richest people the speaker knows pick one of four paths, stay on it for about a decade, and compound. No president or economy makes you rich; you do.

Framework. Cross two variables, money (yours vs. other people's) and business (yours vs. other people's), to get four paths:

	Your business	**Other people's businesses**
Your money	**1. Bootstrapping** - fund from savings and cash flow	**3. Investing** - buy stakes, don't operate
Other people's money	**2. Raising capital** - sell equity to fund fast growth	**4. Fund management** - pool LP money, buy businesses, take fees and carry

Path	**Speed**	**Control / equity**	**Core risk**	**Speaker's "who it's for"**
1. Bootstrap	Slowest of the operating paths (capital must be earned first)	Keep all control and equity	Accumulates non-cash debt: talent, technical, data, leadership. Capital limits which opportunities you can chase.	First-time founders; low-cost businesses (services, agencies, education, ecom, local, some software).
2. Raise capital	Fast	Dilution, board seats, liquidation preferences, can be voted out (Jobs)	Two customers (end user and investors); VC wants grand slams, so most founders get nothing.	Capital-intensive or winner-take-all ideas where losing money for years is the plan.
3. Invest	Slowest overall	Often minority; no operating role	Diversification caps upside; needs large excess cash; very long time horizon.	People with meaningful surplus cash and a decades-long horizon.
4. Fund mgmt	High leverage, long feedback loop (5-7 yrs)	GP controls the fund; small personal cheque	Many masters (LPs, regulators, founders); reputation and risk management become the job.	People with a track record, proprietary deal flow, and a real edge.

Practical takeaway. Match the path to your stage. If it's your first business, bootstrap and "pay off ignorance debt" with your own money before risking others'. Raise capital only if the economics require losing money first. Invest only once active income gives you surplus. Run a fund only with proven deal flow and an edge. The speaker's own sequence: bootstrapped gyms, a supplement company, and a software company; then invested; then co-owned and venture-funded Skool; then GP roles in real-estate deals.

2. Detailed breakdown of the video

2.1 The proof-point list (top 11 on Forbes, per the speaker)

Raised outside capital: Elon Musk, Larry Ellison, Mark Zuckerberg, Jeff Bezos, Larry Page, Sergey Brin, Jensen Huang. Bootstrapped: Steve Ballmer (Microsoft), Michael Dell, the Waltons (Walmart). Investing: Warren Buffett. Fund management does not appear until roughly six places lower. Speaker caveats: he is unsure about Bill Gates' early funding, and says results vary for everyone.

2.2 Path 1 - Bootstrapped

- **Definition:** fund the business from savings and cash flow; no outside investors; grow by reinvesting profit. Start with a website, a phone, and skills, trade them for money, reinvest the excess.
- **Typical businesses:** agencies, home services, B2B and professional services, education, ecom (drop-shipping needs less capital; stock-holding needs more), local businesses, increasingly software because entry costs keep dropping.
- **Speaker's examples:** first gym; Prestige Labs (supplements); ALAN (software for agencies); Acquisition.com now partly reinvests its own capital.
- **Who it's for:** anyone on a first business, mainly to "pay off ignorance debt" rather than lose friends' and family's money.
- **Advantages:** keep control and equity; choose your own pace, strategy and exit time (or never exit); aim to build a compounding vehicle (recurring or reoccurring revenue). "Buy a dollar, sell for two" is fine as a first business. You also tend to survive longer because your cost base stays low.
- **Trade-offs:** slowest of the operating paths ("a car factory built inside the car"). You incur more non-cash debt than any other path: **management and leadership debt** (can't pay ten stars $1M+), **technical debt** (cheaper tools or builds), **data debt**. Capital limits the opportunity set (e.g. an AI-robotics company is unrealistic without outside cash).

2.3 Path 2 - Other people's money into your business (raising capital)

- **Definition:** you run the company; investors buy equity to fund fast growth.
- **Typical businesses:** tech platforms, social networks, marketplaces, manufacturing, pharma (years to approval), anything with large upfront costs then rising gross margin, or winner-take-all dynamics. Amazon and Facebook lost money for years before profit.
- **Who it's for:** big visions that cannot be profitable early (expect to lose money for 1-3 years).
- **Speaker's example:** Skool is venture-backed, which lets it price at about $9 per month.
- **Advantages:** start bigger, hire top talent, outspend competitors, run negative acquisition cost, build infrastructure faster, take less personal debt. Fewer well-funded competitors (countable on two hands vs. endless marketing agencies). Analogy: build the car factory first, then each car yields known profit.
- **Trade-offs:** (1) two customers: end users and investors; (2) dilution, with terms mattering (his partner's first exit paid founders less than expected because of liquidation preferences and ratchets); (3) board seats mean you can be voted out (Steve Jobs); (4) venture money is "grand slam money": investors can absorb many strikeouts, but for the founder n = 1. Terms are everything: a trillion dollars for 1% is great, $10 for 90% is not. Your ability to raise depends on track record and the size and likelihood of the opportunity.

2.4 Path 3 - Investing

- **Definition:** your money into other people's businesses: public stocks, real estate, cash-flowing private businesses, venture. You fund, you do not run.

- **Speaker's practice:** HQ Ventures (venture arm focused on SMB tech, where he understands the space) plus private-equity-style cash-flow businesses where Acquisition.com also adds services.
- **Who it's for:** people with meaningful excess cash who want upside without day-to-day operations; an extremely long game. He calls it the easiest lifestyle of the four and the most relaxed period of his life, but by far the slowest, and almost nobody earns their fortune this way (they already have high active income).
- **Advantages and trade-offs:** diversification reduces risk but also upside; he cites Dale Carnegie, "put all your eggs in one basket and watch the basket", and notes that the best investors run concentrated books (five to eight big bets).
- **Buffett caution:** do not copy the top outlier. Buffett became widely known only around 60 and made the bulk of his wealth very late; compounding needs decades and long life (Munger died at 99). Even Buffett's returns fell as capital grew.
- **Real estate:** he says main-street real estate is the most common path to millionaires but not billionaires; good for building and storing wealth, unlikely to reach the top without a very long horizon.

2.5 Path 4 - Fund management

- **Definition:** raise a pool from LPs (limited partners), use it (plus debt) to buy pieces or control of businesses. You are the GP (general partner).
- **Worked example (narrated):** raise $100M ($5M from the GP, about 5%; $95M from LPs); add $200M of debt; buy $300M of businesses; hold 6-7 years. At 10% per year assets roughly double in seven years (the speaker's "just matching the S&P" case). At 20% annualised for 6 years the money multiplies 2.98x, so $300M becomes about $900M. Subtract debt repayment (assumed $200M principal plus about $100M interest), LP capital ($95M), and a 6% preferred return (about $40M); about $465M remains; he assumes a 50/50 split between GP and LPs. Even with only 10% to 20% of that, the GP makes $46.5M to $90M on a $5M cheque. "This is leverage."
- **Raising money:** "There is no lack of capital in the world, only a lack of good deals" (mentor advice). Do not say "guaranteed". Show a high probability of a 5x and several ways you reduced the risk. Niche, private, specific deals can command better GP splits.
- **Who it's for:** people who have built a track record, have proprietary deal flow nobody else sees, and a real edge in picking and improving companies. Funds are often built around a single thesis; he describes a black-walnut-tree fund (30-year growth, annual walnut cash flow after year three, staggered tree "vintages") that he passed on because he lacked the specialist network.
- **Advantages:** maximum leverage, smallest personal cheques, large upside, fees (more with track record; first-time funds often charge less to align incentives).
- **Risks:** huge responsibility, long feedback loop, accountability to LPs, regulators, entrepreneurs and customers; "rich on paper but you feel like a slave"; the job becomes managing risk, reputation, people and portfolios: you are building the company of the fund.

2.6 Closing and offers

The speaker says he got rich by bootstrapping, then invested, then co-founded Skool (venture-raised), and finally did GP work in real-estate deals through Acquisition.com. He offers a free 10-stage scaling roadmap (acquisition.com/roadmap) covering eight business functions, built from software, product, service, and brick-and-mortar companies. Treat the roadmap as a lead-generation asset for his firm: useful, but also marketing.

3. Fact-check and evidence alignment

Each claim is graded (see cover). Links are in Section 8.

#	Claim in the video	Grade	What the evidence says
1	Of the 11 richest, most raised capital; Ballmer, Dell and the Waltons bootstrapped; Buffett investing.	C	The specific Forbes ranking on the recording date was not verified here. Path labels are interpretive. Sample size 11 and survivorship bias mean it shows how outliers did it, not what works on average.
2	Microsoft was bootstrapped.	B	Mostly true, with a caveat: Technology Venture Investors invested $1M for about 5% in 1981, Microsoft's only pre-IPO venture round (Wikipedia and GeekWire). Wikipedia says Microsoft did not need it and took it ahead of going public. Bootstrapped for years, not purely so.
3	A Buffett-style start: bought his first stock "two weeks after Pearl Harbor when you were age seven".	D	Buffett bought his first stock (Cities Service preferred) at age 11, in 1942, per CNBC and Wikipedia. The age-seven detail is inaccurate; the point (he started extremely young) stands.
4	Buffett was little known until about 60 and made most of his wealth very late (~80 to 95).	B	Direction supported: sources cite roughly 94% to 99% of his net worth was earned after 50 or 60. The exact "80 to 95" window and "until 60 nobody knew his name" were not verified.
5	Bootstrapped founders can reach the top (Walmart, Dell, Microsoft).	A	Mailchimp is a verified modern example: roughly $12B acquisition by Intuit (Sept 2021), described as one of the largest bootstrapped exits, with no outside venture funding (TechCrunch, Indie Hackers).
6	Most venture-backed ventures fail; the headlines are the rare exceptions ("sea of tombstones").	B	Correlation Ventures (21,000+ financings, 2004-2013): 65% returned under 1x; only about 4% returned 10x or more. Horsley Bridge data (via a16z): about 6% of investments produced about 60% of returns. Both from secondary write-ups; primary reports not opened.
7	Most founders get nothing after 5-10 years of life.	B	BLS-derived figures via secondary sources: about 78-80% of new establishments survive year 1, about 51% reach year 5, about 35% reach year 10. Caveat: these count establishment closures, not owner failures (sales and retirements also end a record).
8	Liquidation preferences and ratchets can leave founders with less than headline exit value; board seats can remove founders.	T	Standard venture-term mechanics (see Section 5.3 for a worked example). The Steve Jobs 1985 ouster is well documented. The specific story about his partner's first exit was not verifiable.
9	Fund math: 20% for 6 years multiplies money 2.98x; 10% a year doubles in about 7 years.	A	Arithmetic checked: 1.2^6 = 2.986; 1.1^7 = 1.95 (rule of 72 gives 7.2 years). The $465M remainder reproduces if you subtract $300M debt and interest, $95M LP capital and $40M pref from $900M. It omits the GP's own $5M return.
10	Typical PE terms: hurdle 6-8%, profit split shown as 50/50.	B	A hurdle (preferred return) of about 8% is the most common; 7-8% is typical (fee-structure explainers). Carried interest is usually about 20% of profits above the hurdle, with 25-30% for top managers - not 50/50. Annual management fees of about 1.6-2% apply and are not in the example. The "GP puts in ~5%" figure was not confirmed (typical commitments are commonly cited as 1-5%).
11	Private-equity-style returns beat the market (assumed 20% annualised).	B	Contested. Harris, Jenkinson and Kaplan (NBER, nearly 1,400 funds) find buyout funds beat the S&P 500 net of fees by more than 3% per year. Kaplan and Schoar (2005) found about equal to the index, with large dispersion. Critics argue unsold holdings are valued optimistically. A sustained 20% is a top-tier outcome, not a base case.
12	Real estate is the most common path to millionaires (but not billionaires).	C	Not supported by what was found. Ramsey Solutions' survey of 10,000 millionaires emphasises 401(k)/retirement investing (8 in 10) and 79% received no inheritance; no real-estate share was found. Self-run survey, so rigour is limited.

#	Claim in the video	Grade	What the evidence says
13	Cost of entering business keeps dropping (including software).	A	Peng et al. (2023, arXiv 2302.06590): developers using GitHub Copilot finished an HTTP-server task 55.8% faster (95% CI 21-89%) in a controlled experiment; a third-party summary says 95 freelancers. Single narrow task, so generalise carefully.
14	"There is no lack of capital, only a lack of good deals."	C	An aphorism, not a tested law. Capital availability is cyclical and uneven across founders and regions. Useful as a mindset for preparing a credible deal, not as a guarantee.
15	Speaker's biography (gyms, $46.2M sale, Skool, Guinness book-launch record, portfolio revenue).	C	Self-reported in the description, which tells viewers to google it. Not verified in this session. Treat as plausible but unaudited.
16	Diversification lowers upside; the best investors concentrate.	T	Consistent with theory: Markowitz (1952) shows diversification reduces risk for a given return; Kelly (1956) shows optimal growth comes from sizing bets to your edge, which favours concentration when edge is real. Concentration without edge raises risk of ruin.

4. The fund-management math, rebuilt and stress-tested

Using the speaker's own assumptions ($5M GP + $95M LP + $200M debt, $300M of assets bought, 6-year hold, about $100M interest, 6% preferred return), here is the profit left to split under different growth rates. This is the author's arithmetic on his stated numbers; it ignores management fees, deal costs, taxes, interim distributions and the timing of cash flows.

Annual asset growth	Assets at exit ($M)	After debt + interest ($300M), all equity ($100M) and 6% pref	GP share at 50% (video)	GP share at 20% (typical carry)
0%	300	-140 (shortfall)	0	0
5%	402	-38 (shortfall)	0	0
10%	531	92	46	18
15%	694	254	127	51
20%	896	456	228	91

- **At 20%** the video's $465M reproduces to within the GP's $5M (my figure is about $456M because the GP's own $5M is returned first).
- **At the speaker's "base case" of 10%**, profit to split is only about $92M. A typical 20% carry then pays the GP about $18M, not the headline numbers. The leverage works because the upside is shared and the downside lands on LPs and lenders.
- **Leverage cuts both ways:** with $300M of debt plus interest and $100M of equity, the assets must reach about $400M (roughly 4.9% a year for six years) merely to return capital. At 0-5% growth the equity is wiped out or barely recovers.
- **Take-away:** the example is a best-case illustration of why the GP path has the highest leverage and the highest accountability. Real fee drag, carry rates and return dispersion make typical outcomes far lower.

Regulatory note. Raising pooled money from other people is generally regulated (in the US, securities laws, investor-eligibility rules, and fund registration or exemptions). Get a securities attorney before soliciting anyone. This applies to Path 2 as well when selling equity.

5. The theory underneath: what the video is really saying

5.1 Compounding and time (Rule of 72, T)

Doubling time is about 72 divided by the annual return in percent. 10% doubles in about 7.2 years; 20% in about 3.6. Every path rests on compounding something: capital, customers, or reputation. Starting earlier and not interrupting the compounding matter more than a high one-off return, which is the speaker's Buffett and Mozart point.

5.2 Power laws: why venture is "grand slam" money (B)

Venture outcomes follow a heavily skewed distribution (Correlation Ventures and Horsley Bridge data above). Investors survive by holding many bets; a founder holds one. Implication: raising venture money is rational only if your company could plausibly be one of the few big winners, and the market is big enough to justify it.

5.3 Dilution and liquidation preferences (T, worked example)

Illustrative only; real terms vary. Investors put in $10M for 40%; founders hold 60%.

Exit value	Founders if investors have 1x non-participating pref	Founders if 1x participating pref
$15M	$5.0M (investors take their $10M back, since 40% = $6M is less)	$3.0M (investors take $10M, then 40% of the remaining $5M = $2M)
$30M	$18.0M (investors convert: 40% = $12M)	$12.0M (investors take $10M, then 40% of $20M = $8M)
$100M	$60.0M	$54.0M

Same company, same exit: the founders' take differs a lot by term. Always model the waterfall before signing.

5.4 Concentration vs. diversification (T)

Markowitz (1952): diversifying across imperfectly correlated assets reduces risk for a given return. Kelly (1956): the growth-optimal bet size is f* = (bp - q)/b, where p is win probability, q = 1 - p, and b the net odds. Example: a 60% chance of winning an even-money bet gives f* = 0.2, so risk 20% of your bankroll, and half-Kelly is common practice. Takeaway: concentrate only where you have a measured edge, and size bets so one loss cannot end the game.

5.5 Agency problems: two customers (T)

When you take outside money you add a principal whose incentives differ (return multiple, exit timeline) from yours and your customers'. Governance rights (board seats, protective provisions) allocate control. This is a standard corporate-finance result, and it explains why the speaker calls venture "two masters".

5.6 Learning cost: "ignorance debt"

The speaker's term for the cost of mistakes made while learning. Bootstrapping makes you pay it with your own money, and with your own skin in the game. It is a practitioner idea, not a research term; related to the experience-curve and deliberate-practice literatures. Practical point: pay tuition cheaply, with small bets, before scaling.

5.7 Experimentation (B): the research method for improving anything online

Kohavi and colleagues' work on large-scale online experiments reports that only about one-third of ideas tested at Microsoft improved their target metric, and that around 10-20% of experiments are positive at Bing and Google (secondary sources; Google figure via Jim Manzi). Implication: your gut is wrong most of the time, so run controlled tests and expect most to fail.

6. Applying it today (author's synthesis)

Everything below is practical inference, not a claim from the video. It is graded T/heuristic unless stated.

6.1 A decision ladder (heuristic)

Your situation	Default path	Move up when...
No business yet; little capital; limited skills	Bootstrap a low-capital service or digital product (agency, productised service, micro-SaaS, content/education).	You have repeatable revenue and know your unit economics (CAC, gross margin, retention).
Profitable small business; growth limited by cash	Keep bootstrapping with reinvestment; consider debt or revenue-based financing before equity.	A proven, repeatable acquisition channel can absorb more spend with predictable payback.
Winner-take-all or capital-heavy idea; strong team and traction	Raise capital, but model dilution, preferences and control first.	The market is large enough for a venture-sized outcome and you accept a high chance of zero.
Significant surplus cash, no desire to operate	Invest (index funds, real estate, small private businesses); concentrate only where you have an edge.	You have a track record and proprietary deal flow.
Track record, proprietary deal flow, legal support	Fund or syndicate (start with a single-asset deal).	Consult securities counsel first.

6.2 Services and agencies (bootstrap)

- **Why it fits:** low startup cost, fast cash, speaks directly to the speaker's list. Danger: it is a job unless you build recurring revenue and systems.
- **Moves:** productise one outcome for one niche; price on value; collect cash upfront or on retainers; convert one-off clients into recurring revenue; track gross margin per client and utilisation.
- **Pay-down for "management debt":** document processes and hire against bottlenecks only after a channel is proven.

6.3 Apps and software (bootstrap, increasingly AI-assisted)

- **Evidence:** the Copilot trial (A) shows meaningful speed gains on a defined task; the barrier to a first version has fallen. It does not remove distribution, trust, or support costs.
- **Moves:** validate demand before building (landing page, waitlist, or concierge version); ship a narrow v1 to a niche; charge from the start; measure activation, retention and payback.
- **When to raise:** only if network effects or heavy infrastructure make early losses necessary. Many software businesses do not need it (Mailchimp is the large-scale proof).

6.4 Websites and e-commerce

- **Cash discipline:** drop-shipping or pre-orders reduce inventory risk; holding stock needs working capital (bootstrap's trade-off).
- **Moves:** own your list (email/SMS); build one hero offer plus a backend; use post-purchase offers to raise average order value; protect margin before scaling ads.

6.5 Conversion marketing: the loop that makes a bootstrapped business compound

Step	What to do	Basis
1. Unit economics	Compute CAC, gross margin, payback period, and LTV. A common heuristic is LTV:CAC of about 3:1 with payback under 12 months; treat as a starting guide, not a law.	Practitioner heuristic

Step	What to do	Basis
2. Offer	Increase perceived value (outcome, speed, certainty) and reduce effort and risk; guarantees and clear scope help. The speaker's value-equation is his own framework from his books.	Practitioner framework (C)
3. Behaviour	Use motivation, ability and prompt (Fogg Behaviour Model): reduce friction at every step; make the next action obvious. Cialdini's principles (reciprocity, social proof, scarcity, authority, commitment, liking, unity) guide messaging; use only honest proof.	Fogg (2009), Cialdini (1984) - T
4. Test	Run controlled A/B tests with a pre-set primary metric, guardrail metrics, and enough sample size; expect most ideas to fail (Section 5.7). Avoid peeking early and stopping on a lucky streak.	Kohavi et al. - B/T
5. Reinvest	Put profit back into the channel that has proven payback; this is the bootstrapped "reinvestment engine".	Video, Path 1
6. Retain	Recurring offers and follow-up sequences raise lifetime value, which lets you outbid competitors for customers without outside capital.	Video: "compounding vehicle"

6.6 Community and creator businesses

The speaker co-owns Skool. A community-plus-course product is a recurring-revenue, low-capital model. Moves: pick a narrow outcome, sell access plus results, keep churn low through engagement, and treat content as top-of-funnel for a paid offer. Note: platform dependence is a risk; own an email list.

6.7 Investing your surplus

- Start with low-cost diversified assets; add concentrated bets only where you have an edge and can size by something like fractional Kelly.
- If you build a track record, a first step toward Path 4 is a single-deal syndicate with a lawyer, not a blind-pool fund.

7. 30-90 day starting plans

Path	First 30 days	Days 31-90
Bootstrap (new business)	Pick a niche and a problem you can solve; presell or run a pilot for 3-5 customers; set up payments and a simple tracker for revenue, cost and leads.	Fix delivery; get testimonials you can prove; document the process; start one acquisition channel and measure CAC; reinvest the first profits into that channel.
Bootstrap (existing business)	Compute unit economics by product and channel; find the single biggest bottleneck; define one recurring offer.	Launch 2-3 controlled tests (offer, page, follow-up); hire only for the constraint you've measured; set a payback rule for ad spend.
Raise capital	Write a one-page thesis: market size, why now, why you, why capital is required; list the metrics investors will ask for; read a model term sheet; line up a startup lawyer.	Talk to 20 investors before you need money; model dilution and the liquidation waterfall; define your walk-away terms.
Invest	Define the amount you can leave untouched for 10+ years; automate contributions; learn the basics of valuation.	Review annually; add concentrated bets only with a written thesis and a position size limit.
Fund / syndicate	Pick a thesis and a niche you know; collect evidence of proprietary deal flow; talk to a securities attorney.	Co-invest or syndicate a single deal with clear docs; build a transparent track record.

What this document cannot tell you

- Which path suits you: this depends on your capital, skills, risk tolerance, time horizon, and legal and tax position.
- Whether any individual claim in the speaker's biography is correct (not independently verified).
- Precise return expectations for any strategy. All figures here are illustrative or historical.

8. Sources

Retrieved and read during this session

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- VC power-law summaries (secondary) - https://vcbeast.com/venture-capital-power-law-explained and https://sethlevine.com/archives/2014/08/venture-outcomes-are-even-more-skewed-than-you-think.html
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How to use this PDF in any chat

Attach the file, then paste one of these:

- **Strategy:** "Using the attached brief, recommend which of the four paths fits me. My capital is ___, my skills are ___, my time horizon is ___. Challenge my assumptions and list what I should verify."
- **Business plan:** "Using the attached brief's bootstrapping and conversion-loop sections, build a 90-day plan for a ___ business, with unit economics and tests to run."
- **Stress test:** "Using Section 3 and 4 of the attached brief, red-team my plan to raise ___ / start a fund. What would a sceptical investor ask?"
- **Marketing:** "Using Section 6.5, audit my funnel at ___ and propose five A/B tests ranked by expected impact."